STRATEGY & SPECIAL PROJECTS — INITIATIVE PROPOSAL

Giro

Cash-flow intelligence + embedded working capital for Brazil's small businesses

Prepared by: Felipe de Almeida · Strategy & Special Projects

Audience: Fintech leadership / investment committee

Disclaimer: *Independent strategy exercise. Mockups are illustrative; market figures are from public sources (see Sources); unit economics are illustrative placeholders to show the model, not forecasts.*

Executive summary

Micro and small businesses are 95% of all companies in Brazil, yet ~88% struggle to access financing — and their single biggest need is working capital (41% of credit demand). Today they are flying blind on cash flow and excluded from fair, fast credit: only ~15% even seek a loan, fewer than half are approved, and just 13% use online channels because they don't trust fintechs.

Giro is a special-projects initiative that turns a payments/account relationship into a credit and retention engine. It gives a small business (1) a real-time cash-flow view and 30-day forecast, (2) pre-approved working capital underwritten by that cash-flow data, and (3) smart repayment that flexes with daily receivables. The wedge is trust and timing: credit offered at the exact moment a shortfall is forecast, priced transparently, funded in minutes via Pix.

The ask: approval to run a 90-day validation and a capped pilot (controlled credit limits, single segment) to prove cash-flow underwriting lowers default while lifting activation and retention.

1. Strategic context

- **Demand:** MPEs = 95% of Brazilian companies; working capital is the #1 credit purpose (41%).
- **Exclusion:** ~88% of small businesses face difficulty getting financing; among those who apply, ~48% are approved; only ~13% use online platforms.
- **Trust gap:** many small businesses still distrust fintechs — an opening for a product that leads with usefulness (cash-flow clarity) before selling credit.
- **Enablers (why now):** Open Finance gives consented access to multi-bank data; Pix enables instant disbursement and receivables-based repayment; AI makes cash-flow underwriting viable at scale.

2. The problem

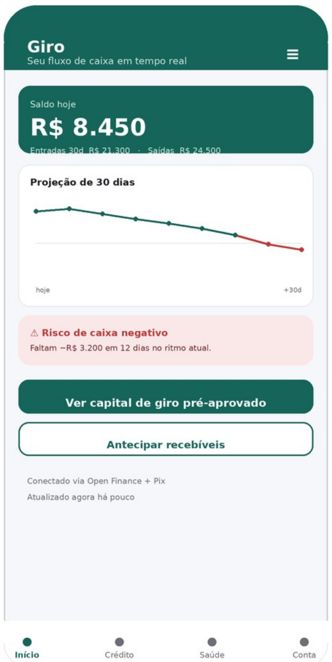
Two halves of one pain. First, cash-flow blindness: owners don't know when they'll run short until they do. Second, credit exclusion: when the gap hits, fair credit is slow, paperwork-heavy, or denied — pushing them to predatory options or to shrink the business. No one solves both halves together at the moment of need.

3. The initiative — Giro

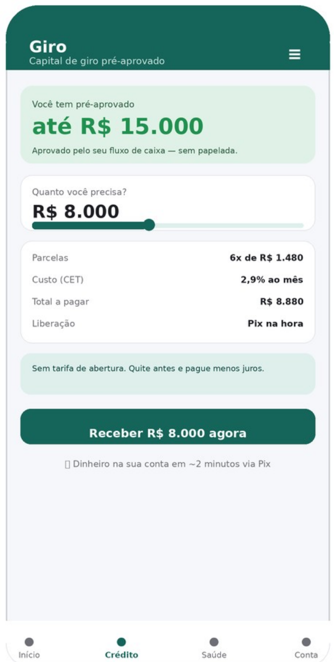
- **See:** real-time cash position + 30-day forecast across accounts (Open Finance), with shortfall alerts.
- **Fund:** pre-approved working capital, underwritten by cash-flow and receivables data — no paperwork, Pix in minutes, transparent CET.
- **Repay:** smart auto-repayment as a % of daily Pix inflows — lighter on slow days, faster on strong days — reducing default and stress.

4. Product walkthrough

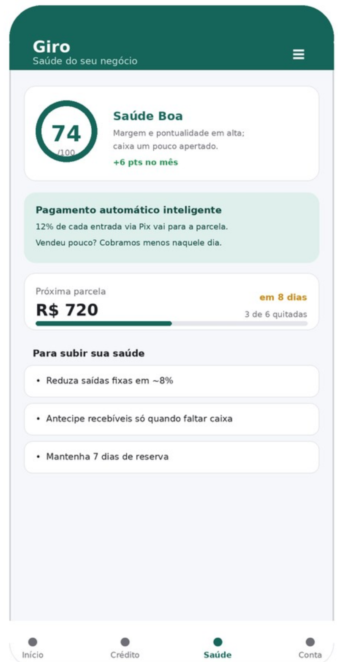
Three screens take an owner from seeing the risk to solving it — and repaying painlessly.



1 · Cash-flow + forecast



2 · Pre-approved capital



3 · Health + smart repay

- **Screen 1:** the forecast turns the abstract ('am I okay?') into a dated, quantified risk — the trigger that creates demand for credit at the right moment.
- **Screen 2:** a transparent, pre-approved offer funded instantly via Pix removes the friction and distrust that kill SMB lending.
- **Screen 3:** repayment tied to receivables aligns the product with the business's reality and is the core risk-management lever.

5. Strategic fit — why us

- **Relationship → credit:** convert an existing payments/account base into a higher-margin credit relationship at near-zero incremental CAC.
- **Data moat:** Open Finance consent + on-us Pix flows create proprietary, real-time underwriting signal competitors can't easily replicate.

- **Retention:** cash-flow clarity + embedded credit raise switching costs and deepen primary-account behavior.

6. Business case (illustrative)

Illustrative per-loan economics to show the model — not a forecast. Assumes a R$ 8,000 working-capital advance, ~6 months.

Line	Illustrative value	Lever
Revenue (interest spread + fees)	~R$ 700–900 / loan	Transparent CET; receivables fee
Cost of funds	(–) varies w/ funding line	FIDC / BaaS partner
Expected credit loss	Lower vs. market	Cash-flow underwriting + flexible repay
Incremental CAC	~0	Existing base, in-context offer
Strategic payoff	Retention + LTV uplift	Primary-account stickiness

The thesis isn't a single loan's margin — it's a lower-loss, near-zero-CAC credit book that also lifts retention of the core account.

7. Build vs. partner

Capability	Recommendation	Rationale
Lending license / ledger	Partner (BaaS / SCD)	Speed to market; regulatory cover
Funding	Partner (FIDC / credit line)	Off-balance-sheet at pilot stage
Open Finance aggregation	Partner aggregator	Commodity; don't build
Cash-flow forecast + risk engine	Build	Core IP and the data moat
Product & experience	Build	Trust and UX are the differentiator

8. Go-to-market

- **Phase 1:** activate the existing base in one segment (e.g., service MEIs with steady Pix inflows) — start with the free cash-flow view.
- **Conversion:** trigger credit offers on forecast shortfalls; let usefulness earn the right to lend.
- **Expansion:** widen segments and limits as the risk model proves out; add receivables advance and supplier payments.

9. Phased roadmap (special-project governance)

Phase	Timeline	Goal & gate
0 · Validate	M0–M2	Demand + willingness; forecast accuracy on historical data. Gate: signal quality.

Phase	Timeline	Goal & gate
1 · Capped pilot	M3–M6	Small limits, one segment, partner-funded. Gate: default within target.
2 · Scale	M7–M12	Expand limits/segments; optimize pricing. Gate: unit economics + retention lift.
3 · Platform	M12+	Receivables, supplier pay, cross-sell. Gate: book health.

10. Key risks & mitigations

- **Credit cycle / default:** downturns raise losses. Mitigate with capped limits, flexible repayment, partner funding, and conservative pilot underwriting.
- **Responsible lending:** avoid over-indebting fragile businesses. Mitigate with affordability checks from cash-flow data and clear, capped offers.
- **Regulatory:** lending and data are regulated. Mitigate via licensed partners and Open Finance consent flows.
- **Adverse selection:** the neediest borrow first. Mitigate by underwriting on real inflows, not self-reported data, and starting small.

11. KPIs

North Star: healthy active credit book — outstanding working capital to businesses that stay cash-flow positive.

KPI	Stage	Why
Cash-flow view activation	Top of funnel	Usefulness before lending; the trust wedge
Offer → funded conversion	Core loop	Proves in-context, pre-approved offers work
Default / NPL vs. market	Risk	The whole underwriting thesis
Primary-account retention lift	Strategic	The reason the company wins, beyond loan margin

12. The ask — next 90 days

- Mandate + small squad to run Phase 0 (validation) and design the capped pilot.
- Sign a BaaS/SCD and a funding partner; select the Open Finance aggregator.
- Define the pilot segment, credit caps, and the default/retention success gates.

Sources

- Sebrae — Financiamento dos Pequenos Negócios 2025 (demand, approval, online use) — https://sebraepr.com.br/impulsiona/financiamento-dos-pequenos-negocios-no-brasil-2025/
- Gov.br — crédito para micro e pequenas empresas (95% of firms; programs) — https://www.gov.br/fazenda/pt-br/assuntos/noticias/2026/maio/ministerios-da-fazenda-e-do-empreendedorismo-da-micro-empresa-e-da-empresa-de-pequeno-porte-destinam-credito-para-micro-e-pequenas-empresas

- Programa Acredita — credit & renegotiation for MEIs/MPEs — https://www.gov.br/memp/pt-br/programa-acredita